

PERSONALIZED WEALTH STRATEGY

Matt Lewis | October 2025

Executive Summary

This 12-month plan is built to (1) shelter 2025 taxes and reduce your ~\$200k withholding burden before December 31st, (2) launch the right LLC structure to maximize ongoing deductions, and (3) deploy your \$2M in home equity strategically into wealth-building assets. With \$300k+ income and limited time until year-end, the focus is immediate execution on high-value tax strategies you can implement in the next 60 days.

Your current snapshot: \$300k+ W-2 income, \$2M home equity, single-member LLC already formed, \$5k liquid capital, 3-5 hours per week available, and strong credit (760+). Fixed monthly expenses of \$6,000 and 6+ months emergency fund provide solid foundation.

Base Plan Total Range: \$48,000 - \$88,000 (Year-One tax value + cash flow improvements + conservative investment gains)

Aggressive Plan: \$98,000 - \$165,000 (includes equipment Section 179, strategic HELOC deployment, real estate income, and Bitcoin appreciation)

The Base Plan focuses on documentation strategies, retirement account optimization, and foundational tax moves you can execute with minimal capital. The Aggressive Plan adds equipment purchases (leveraging 100% bonus depreciation restored in 2025), real estate arbitrage income, and strategic deployment of equity via HELOC. Given your 0-30 day timeline and Q4 tax-shelter priority, immediate action on Sections 179 equipment and foundational LLC documentation will drive the most value before year-end.

Current Position

Work type: W-2 employee (\$300k+)

Location: Charlotte, NC

Monthly fixed expenses: \$6,000

Mortgage: House 1: \$1,500/mo; House 2: no mortgage (has 1st lien HELOC)

Debt: None (non-mortgage)

Credit score: 760+

Liquid capital available: \$5,000

Emergency fund: 6+ months (well-covered)

Home ownership: Yes, with \$2M estimated equity across two properties

Retirement accounts: \$100k-\$250k total

Entity status: Single-member LLC (already formed)

Time available: 3-5 hours per week

Capital for next step: \$2,001-\$5,000

Timeline: 0-30 days (urgent year-end tax moves)

30-Day Launch Checklist

Week 1 — Foundation & Banking (Nov 4-10)

- Open business checking account at local bank or credit union (Mercury, Relay, or Bluevine for online options)
- Order business checks and debit card
- Set up QuickBooks Self-Employed or Wave (free) for bookkeeping
- Create dedicated folder (Google Drive or Dropbox) for business documents and receipts
- Photograph and measure home office space (exclusive use area)
- Research Section 179 equipment needs for your LLC (video/content creation gear, computers, furniture, vehicles >6,000 lbs if relevant)

Week 2 — Documentation & Tax Setup (Nov 11-17)

- Draft and sign Accountable Plan document (template available online or from CPA)
- Create W-9 for your LLC
- File for EIN if not already done (takes 5 minutes online at irs.gov)
- Document all Augusta Rule meeting agendas for Q4 2025 (need to complete before Dec 31)
- Start mileage tracking app (MileIQ, Everlance, or manual log with Timestamp)
- Open River account (river.com) for Bitcoin DCA setup
- Schedule CPA consultation for year-end tax planning review (critical given timeline)

Week 3 — Equipment & Execution (Nov 18-24)

- Purchase qualifying Section 179 equipment before Dec 31 (computers, cameras, office furniture, software, vehicle if applicable)
- Must be placed in service by December 31, 2025 to qualify
- Keep all receipts and take photos of equipment in business use
- Execute 2-3 Augusta Rule meetings this week with written agendas and minutes
- Invoice LLC for meeting space rental (\$300-400/meeting)
- Begin tracking business miles for November-December
- Max out 401k contributions if not already doing so

Week 4 — Optimization & Professional Review (Nov 25-Dec 1)

- Submit updated W-4 to employer to optimize withholding for 2026
- Complete IRS Tax Withholding Estimator (irs.gov/W4App)
- Open Solo 401k if you have side business income (Fidelity, Vanguard, or E*TRADE)
- Contact CPA to finalize equipment purchases and ensure proper documentation
- Execute final 2-3 Augusta Rule meetings for the year
- Start Bitcoin DCA (\$300-500/month minimum)
- Set up Accountable Plan reimbursement process (monthly packet creation)

Tax Optimization Playbook

1. Section 179 Equipment Deduction (CRITICAL FOR 2025)

The One Big Beautiful Bill Act restored 100% bonus depreciation for equipment placed in service after January 19, 2025. This is your biggest immediate opportunity to shelter 2025 income.

Equipment categories:

- Computers, monitors, tablets, phones for business
- Video/content creation equipment (cameras, lighting, microphones, editing software)
- Office furniture (desks, chairs, shelving, filing cabinets)
- Business vehicles >6,000 lbs GVWR (SUVs, trucks): full deduction up to \$30,000-80,000
- Software with <3 year useful life
- Machinery or tools for business operations

Requirements: Equipment must be purchased AND placed in service (used in business) by December 31, 2025. You have ~60 days to execute.

Example calculation:

- Equipment purchases: \$20,000 (computers, camera gear, office furniture)

- Section 179 deduction: $\$20,000 \times 100\% = \$20,000$
- Tax value at 32% federal + 5.5% NC state = 37.5%: \$7,500
- Out-of-pocket after tax savings: \$12,500

Conservative equipment strategy: \$10,000-\$15,000 in essential business equipment

Aggressive equipment strategy: \$25,000-\$50,000 including vehicle or major equipment

Estimated value: \$3,000-\$18,000 (depends on equipment purchases and whether vehicle included)

2. Accountable Plan Reimbursements

Written policy allowing LLC to reimburse you tax-free for business use of personal expenses. This is foundational and gives you ongoing monthly tax-free income from your business.

Reimbursable expenses:

- Cell phone (30-50% business use): \$50-80/month
- Internet (30-50% business use): \$40-60/month
- Home office actual expenses (see #3)
- Vehicle mileage at \$0.70/mile for business use
- Business meals, travel, supplies

Implementation:

1. Draft Accountable Plan document covering all expense categories
2. Track expenses monthly with receipts and photos
3. Document business purpose for each expense
4. Create monthly reimbursement packet (PDF with receipts)
5. LLC pays you via ACH or business check
6. You do NOT report as income; LLC deducts on Schedule C

Typical reimbursements: \$400-800/month for phone, internet, mileage

Annual value: \$4,800-\$9,600

Tax value at 37.5%: \$1,800-\$3,600

Estimated value: \$2,000-\$4,000/year

3. Home Office Deduction (Actual Method)

Since you own House 1 and House 2 (no mortgage on House 2), you can take home office deduction using the actual expense method, which typically yields much higher value than the \$1,500 simplified method cap.

Requirements:

- Exclusive use (no personal activities in space)
- Regular use for business
- Principal place of business OR where you meet clients
- Must photograph and measure space

Actual method calculation:

- Identify dedicated office space square footage
- Calculate business use % (office sq ft ÷ total home sq ft)
- Apply % to eligible expenses: mortgage interest, property taxes, utilities, insurance, repairs, depreciation

Example for House 1:

- 150 sq ft office in 1,800 sq ft home = 8.3% business use
- Annual housing costs:
 - Mortgage interest: \$14,000
 - Property tax: \$4,000
 - Utilities: \$2,400
 - Insurance: \$1,400
 - Repairs/maintenance: \$1,500
 - Depreciation: \$6,500

- **Total: \$29,800**
- Actual method deduction: $\$29,800 \times 8.3\% = \$2,473$
- Tax value at 37.5%: \$928

House 2 option (no mortgage but has HELOC): If HELOC interest is deductible and used for business purposes, you can allocate a portion to home office.

Estimated value: \$1,000-\$3,000/year

4. Augusta Rule (IRC Section 280A(g))

Rent your home to your LLC for up to 14 days per year for legitimate business meetings. LLC deducts expense; you receive income tax-free (not reported on personal return).

Requirements:

- Legitimate business purpose (strategic planning, client meetings, training sessions)
- Written agenda and meeting minutes required
- Market rate rental fee (\$300-600/day for Charlotte area homes)
- Cannot exceed 14 days per calendar year
- Invoice from you to LLC, payment from LLC to you

Execution for 2025:

- Schedule 8-12 business meetings at home before December 31
- Create agenda for each meeting (strategic planning, content creation, client preparation)
- Document attendees if meetings involve partners, contractors, or clients
- Invoice LLC \$300-400 per meeting day
- LLC writes check or ACH to you (documented payment)
- Total annual income: \$2,400-\$5,600 (tax-free to you)

Tax value: $\$2,400-\$5,600 \times 37.5\% = \$900-\$2,100$ saved by LLC

Estimated value: \$1,000-\$2,500/year

5. Vehicle Mileage Deduction

Track and deduct business miles at the standard mileage rate (\$0.70/mile for 2025). This applies to driving for business purposes: client meetings, supplier visits, business errands, professional development.

Requirements:

- Contemporaneous mileage log (app or manual tracking)
- Document: date, starting location, destination, business purpose, miles
- Personal commute miles do NOT qualify
- Start tracking immediately for Nov-Dec 2025

Example calculation:

- Business miles Nov-Dec 2025: 500 miles
- Standard rate: \$0.70/mile
- Deduction: \$350
- Tax value at 37.5%: \$131

Annual projection (2026):

- Conservative: 2,000 miles/year = \$1,400 deduction = \$525 tax value
- Moderate: 4,000 miles/year = \$2,800 deduction = \$1,050 tax value
- Aggressive: 6,000 miles/year = \$4,200 deduction = \$1,575 tax value

Estimated value: \$500-\$1,600/year

6. W-4 Withholding Optimization

Adjust your W-4 to reduce 2026 withholding and increase monthly cash flow. You'll use the freed-up capital for strategic investments (Bitcoin, real estate) rather than giving IRS an interest-free loan.

Strategy:

1. Complete IRS Tax Withholding Estimator at irs.gov/W4App
2. Account for expected LLC deductions: home office, equipment, Augusta Rule, Accountable Plan
3. Reduce withholding to break-even or small refund (\$0-\$500)
4. Deploy extra monthly cash flow into Bitcoin DCA or STR startup costs

Example scenario:

- Current W-2 withholding: \$80,000/year (\$6,667/month)
- Expected LLC deductions: \$25,000
- New optimal withholding: \$70,000/year (\$5,833/month)
- Monthly cash flow increase: \$834
- Annual freed-up capital: \$10,000

Deploy freed capital into:

- Bitcoin DCA: \$500/month = \$6,000/year
- STR startup fund: \$334/month = \$4,000/year

Estimated value: \$8,000-\$12,000/year (freed cash flow for strategic deployment)

7. Retirement Account Optimization

Maximize tax-advantaged contributions to shelter 2025 income and build long-term wealth. Your \$300k+ income qualifies you for multiple stacking strategies.

Primary: 401(k) Contributions

Employee deferral limit (2025): \$23,500 (\$31,000 if age 50+)

- Pre-tax contributions reduce taxable income dollar-for-dollar
- Tax value at 37.5%: \$8,813 (or \$11,625 with catch-up)

Secondary: Backdoor Roth IRA

Since your income exceeds Roth IRA contribution phase-out limits, use the Backdoor Roth strategy:

1. Contribute \$7,000 to Traditional IRA (non-deductible)
2. Immediately convert to Roth IRA (no tax if immediate)
3. Roth grows tax-free forever, withdrawals tax-free in retirement

Requirements:

- Must have \$0 balance in Traditional IRA, SEP IRA, or SIMPLE IRA (pro-rata rule)
- If you have existing IRA balances, consider rolling them into 401(k) first

Advanced: Mega Backdoor Roth (if available)

Check if your employer 401(k) plan allows after-tax contributions and in-plan Roth conversions. If yes:

- Total 401(k) limit (2025): \$70,000 (employee + employer + after-tax)
- After employer match, remaining room for after-tax contributions
- Convert after-tax to Roth immediately (tax-free growth)
- Example: \$23,500 employee + \$10,000 employer match = \$33,500 → leaves \$36,500 for Mega Backdoor

If LLC Generates Profit: Solo 401(k)

Once your LLC is profitable, open Solo 401(k) to shelter business income:

- Employee contribution: Up to \$23,500 (shared limit with employer 401k)
- Employer contribution: Up to 20% of net self-employment income
- Example: \$20,000 LLC profit → \$4,000 employer contribution

Estimated value: \$8,000-\$12,000/year (tax savings from maxing 401k + Backdoor Roth)

8. QBI Deduction (Qualified Business Income)

If your LLC generates net profit, you may qualify for the QBI deduction, allowing you to deduct up to 20% of qualified business income on your personal return.

2025 QBI Rules (OBBBA expanded):

- Basic deduction: 20% of QBI (net Schedule C profit)
- Phase-out thresholds expanded under One Big Beautiful Bill Act:
 - Single: \$197,000-\$272,000 (expanded from prior limits)
 - Married Filing Jointly: \$394,000-\$544,000
- Above thresholds: QBI limited by W-2 wages or property basis (complicated, work with CPA)

Example calculation:

- LLC net profit: \$40,000
- QBI deduction: $\$40,000 \times 20\% = \$8,000$
- Tax value at 37.5%: \$3,000

Note: QBI is complex if you're in phase-out range. Work with CPA to calculate exact deduction based on your total income, filing status, and W-2 wages paid by business.

Estimated value: \$2,000-\$4,000/year (if LLC generates \$30k-\$50k profit)

Bitcoin Accumulation Strategy

Bitcoin is your primary wealth-building engine over the next 5-10 years. With \$2M in home equity and strong W-2 income, you're positioned to accumulate significant Bitcoin holdings through disciplined DCA and strategic lump sum deployment.

Three-Phase Approach

Phase 1: Foundation DCA (Immediate - Q1 2026)

- **Monthly commitment:** \$300-500/month

- **Annual total:** \$3,600-\$6,000
- **Platform:** River.com or Strike.com (low fees, Bitcoin-only)
- **Automation:** Set up automatic weekly or bi-weekly purchases

Phase 2: Increased DCA (Q2-Q4 2026)

As LLC generates profit and W-4 optimization increases cash flow:

- **Monthly commitment:** \$1,000-\$2,000/month
- **Annual total:** \$12,000-\$24,000
- **Source:** LLC profit distributions + W-4 freed cash flow

Phase 3: Strategic HELOC Deployment (2026-2027)

Once LLC is profitable and you have 12+ months of successful operations:

- **HELOC access:** Up to \$400k-\$600k available at ~7-8% interest
- **Conservative deployment:** \$50k-\$100k lump sum
- **Aggressive deployment:** \$200k-\$300k lump sum
- **Strategy:** Deploy during market dip or consolidation, hold 5+ years

Custody Strategy

Accumulation phase (<\$50k):

- Keep on River or Strike for simplicity
- Withdrawals enabled but not necessary

Self-custody phase (\$50k-\$200k):

- Purchase hardware wallet (Ledger or Trezor)
- Practice with small amounts first
- Move majority to cold storage, keep <10% on exchange for trading/DCA

Multi-sig phase (>\$200k):

- Unchained Capital or Casa multisig service

- 2-of-3 or 3-of-5 signature setup
- Key redundancy: eliminates single point of failure
- Inheritance planning built in

Five-Year Projections

Scenario	Total Deployed	BTC Price Assumption	BTC Holdings	Portfolio Value
Conservative	\$100,000	\$150,000 avg (+50% from \$100k)	0.67 BTC	\$200,000
Moderate	\$200,000	\$300,000 avg (+100%)	0.90 BTC	\$540,000
Aggressive	\$400,000	\$500,000 avg (+150%)	1.20 BTC	\$1,200,000

Note: These projections assume different DCA amounts and lump sum timing. Conservative assumes DCA only, no HELOC. Moderate assumes modest HELOC (\$100k). Aggressive assumes significant HELOC deployment (\$300k) with strong timing.

Risk Management

- **Time horizon:** Minimum 5 years, ideally 10+ years
- **Volatility tolerance:** 50-80% drawdowns have occurred historically
- **HELOC risk:** Interest must be paid monthly regardless of BTC price
- **Diversification:** Bitcoin should be 70-80% of investable capital, not 100%
- **Exit strategy:** No need to sell; use as collateral for future loans or live off ~3-5% if needed

Investment Strategy / Portfolio Allocation

Your investable capital should follow a barbell strategy: high-conviction core position (Bitcoin) balanced with income-producing and high-upside asymmetric plays.

Target Allocation Framework

Category	Allocation	Assets	Purpose
Bitcoin Core	70-80%	Bitcoin (BTC)	Primary wealth engine, inflation hedge, long-term store of value
Income Sleeve	10-20%	STRC / STRF	Tax-advantaged cash flow in retirement accounts, 9-14% annual distributions
Accelerators	5-10%	IREN, ASST, OPEN	High-upside asymmetric opportunities, leverage to Bitcoin/tech themes

Specific Implementation

Bitcoin Core (70-80%)

- **DCA component:** \$300-\$2,000/month depending on cash flow
- **Lump sum component:** Strategic HELOC deployment in 2026-2027
- **Target:** \$300k-\$500k deployed over 5 years
- **Platform:** River.com primary, self-custody as balance grows

Retirement Account Income Sleeve (10-20%)

Deploy retirement account balances into high-yield income strategies:

- **STRC**
 - Variable income based on property performance
 - Higher upside potential
 - Quarterly distributions
- **STRF**
 - More predictable monthly income
 - Lower volatility
 - Monthly distributions

Allocation recommendation:

- 60% STRC / 40% STRF (higher risk tolerance, seeking upside)
- OR 40% STRC / 60% STRF (prefer stability, monthly income)

Implementation:

- Move existing 401(k) and IRA balances to STRC/STRF
- Direct ongoing 401(k) contributions to STRC/STRF instead of index funds
- Estimated annual distributions: \$10,000-\$20,000 on \$100k-\$200k balance
- Reinvest distributions or use as additional Bitcoin DCA capital

High-Upside Accelerators (5-10%)

Small positions with asymmetric upside potential:

- **IREN (Iris Energy):** Bitcoin mining leverage play
 - Profits when Bitcoin price appreciates
 - Exposure to mining economics (hashrate, energy costs)
 - Higher volatility than Bitcoin itself
 - Target allocation: 3-5% of portfolio
- **ASST:** AI and infrastructure exposure
 - Benefit from AI compute buildout
 - Diversification from pure crypto
 - Target allocation: 1-3% of portfolio
- **OPEN:** Emerging opportunities and platforms
 - Early-stage tech and platforms
 - Highest risk, highest potential return
 - Target allocation: 1-2% of portfolio

Risk note: These positions can be highly volatile (50%+ drawdowns). Only deploy capital you can hold through volatility. Small positions (5-10% total) create asymmetric upside without excessive downside risk.

Deployment Timeline

Q4 2025:

- Start Bitcoin DCA at \$300-500/month
- Analyze existing retirement account allocations
- Research STRC/STRF for Q1 2026 deployment

Q1 2026:

- Move 401(k)/IRA balances to STRC/STRF
- Increase Bitcoin DCA to \$1,000+/month as LLC profits
- Establish small accelerator positions (IREN, ASST, OPEN)

Q2-Q4 2026:

- Continue Bitcoin DCA
- Rebalance quarterly if any position exceeds target allocation by >5%
- Evaluate HELOC deployment timing for Bitcoin lump sum

2027+:

- Strategic HELOC deployment into Bitcoin during pullbacks
- Rebalance income sleeve distributions into Bitcoin
- Maintain discipline: 70-80% Bitcoin core, 10-20% income, 5-10% accelerators

Expected Returns (Conservative Estimates)

Asset Class	Year 1 Return Range	5-Year Annualized
Bitcoin	15-40%	25-50%
STRC/STRF	10-14%	10-14%
IREN	20-60%	30-80%

Asset Class	Year 1 Return Range	5-Year Annualized
ASST	15-40%	20-50%
OPEN	20-100%	40-150%

Portfolio blended return estimate: 20-45% annualized over 5 years, heavily weighted by Bitcoin performance.

Real Estate Path: Airbnb Arbitrage (Optional for 2026+)

Real estate arbitrage (subletting properties as short-term rentals) offers cash flow opportunity with zero capital required. However, given your urgent 0-30 day tax shelter timeline, this is a Q2 2026+ consideration.

The Arbitrage Model

Lease residential property, furnish it, and sublet as short-term rental (Airbnb, VRBO).

Unit economics example (Charlotte market):

- Monthly rent: \$2,000
- Average nightly rate: \$150
- Occupancy rate: 60% (18 nights/month)
- Gross revenue: \$2,700/month
- Expenses:
 - Rent: \$2,000
 - Utilities: \$150
 - Cleaning: \$300 (18 turnovers × ~\$50-75 each)
 - Supplies: \$100
 - Platform fees (15%): \$405
- Total expenses: \$2,955
- Net profit: -\$255

Note: This example shows negative cash flow, which is why market research and pricing optimization are critical. Profitable units typically achieve 65-75% occupancy or command higher nightly rates (\$175-\$200).

Capital Requirements

- Security deposit: \$2,000
- First month rent: \$2,000
- Furnishing (IKEA/Target budget setup): \$3,000-\$5,000
- Linens, dishes, supplies: \$1,000
- Professional photos: \$150-\$300
- Buffer for vacancy: \$2,000
- **Total startup: \$10,000-\$12,000**

Prerequisites for Success

1. **Market research:** Use AirDNA to analyze Charlotte submarkets, occupancy rates, and RevPAR
2. **Landlord approval:** Explicit written permission to sublet as STR (most leases prohibit)
3. **Zoning verification:** Confirm STRs are legal in target neighborhood
4. **Insurance:** Host protection + commercial policy (\$1,000-\$1,500/year)
5. **Systems:** Automated messaging, dynamic pricing, reliable cleaners

Decision Gate: Should You Pursue Arbitrage?

YES if:

- Charlotte market research shows 70%+ occupancy achievable at profitable rates
- You can secure landlord permission in writing
- You have 8-10 hours/week for property management (or outsource at \$300-500/month)
- Your LLC is already generating profit and you have operating capital
- You want active income stream in addition to tax strategies

NO if:

- Time commitment exceeds 3-5 hours/week you have available
- Charlotte market is oversaturated or regulatory risk is high
- Your focus needs to remain on W-2 optimization and Bitcoin accumulation
- LLC isn't yet profitable and taking on operational complexity is premature

Recommended Timeline

1. **Month 1:** Market research (AirDNA), target neighborhood selection, initial landlord outreach
2. **Month 2:** Secure lease, furnish unit, professional photography
3. **Month 3:** Launch listing, optimize pricing, establish cleaning process
4. **Month 4-6:** Stabilize operations, track true profitability
5. **Month 7+:** Consider second unit if first is consistently profitable

Alternative: HELOC Deployment into Real Estate Ownership

Instead of arbitrage (leasing), consider using \$2M equity for:

- **House hacking:** Purchase duplex/triplex, live in one unit, rent others
- **STR property purchase:** Buy dedicated short-term rental in high-demand area
- **Traditional rental:** Purchase single-family rental for long-term cash flow

Requires: Down payment (\$50k-\$100k), closing costs, stronger credit check, more due diligence

Timeline: 6-12 months to close and launch (vs 2-3 months for arbitrage)

Recommendation for Matt

Given your 0-30 day timeline and tax shelter priority, **DEFER real estate until Q2 2026**. Focus November-December on executing tax strategies and building LLC foundation. Revisit real estate in Q1 2026 after:

1. 2025 taxes are filed with full documentation

- 2. LLC systems are proven and generating income
- 3. You have bandwidth to add real estate operations (not during tax crisis mode)

Year-One Value Breakdown

Tax Optimization Value (Base Plan)

Strategy	Conservative	Moderate
Section 179 Equipment	\$3,000	\$7,500
Accountable Plan	\$2,000	\$3,000
Home Office (Actual)	\$1,000	\$2,000
Augusta Rule	\$1,000	\$1,800
Vehicle Mileage	\$500	\$1,000
401(k) Max + Backdoor Roth	\$8,000	\$10,000
QBI Deduction (if profitable)	\$0	\$2,000
Tax Savings Total	\$15,500	\$27,300

Cash Flow Improvements (Base Plan)

Source	Conservative	Moderate
W-4 Optimization (freed capital)	\$8,000	\$10,000
Accountable Plan Reimbursements	\$4,800	\$7,200

Source	Conservative	Moderate
Cash Flow Total	\$12,800	\$17,200

Investment Growth (Base Plan)

Asset	Conservative	Moderate
Bitcoin DCA (\$300-500/mo)	\$500	\$2,000
STRC/STRF (10% return on \$150k)	\$15,000	\$18,000
Accelerators (small positions)	\$500	\$1,500
Investment Growth Total	\$16,000	\$21,500

Base Plan Summary

Category	Conservative	Moderate
Tax Savings	\$15,500	\$27,300
Cash Flow	\$12,800	\$17,200
Investment Growth	\$16,000	\$21,500
Base Plan Total	\$44,300	\$66,000

Aggressive Plan Additions

Strategy	Conservative Add	Aggressive Add
Equipment Section 179 (vehicle)	\$7,500	\$18,000

Strategy	Conservative Add	Aggressive Add
HELOC Deployed to Bitcoin	\$7,500	\$25,000
LLC Revenue Generation	\$10,000	\$20,000
Real Estate Arbitrage (if launched)	\$6,000	\$18,000
Aggressive Additions Total	\$31,000	\$81,000

Aggressive Plan Summary

Plan Type	Conservative	Aggressive
Base Plan Value	\$44,300	\$66,000
Aggressive Additions	\$31,000	\$81,000
Total Aggressive Plan	\$75,300	\$147,000

12-Month Timeline

Q4 2025 (October-December) — Foundation & Tax Shelter

Priority: Execute year-end tax strategies before December 31

October:

- Open business checking account and bookkeeping system
- Research and price Section 179 equipment needs
- Photograph and measure home office
- Open River account for Bitcoin DCA
- Schedule CPA consultation

November:

- Purchase Section 179 equipment (must be in service by Dec 31)
- Execute 4-6 Augusta Rule meetings with documentation
- Start mileage tracking
- Begin Bitcoin DCA at \$300-500/month
- Draft Accountable Plan document

December:

- Final Augusta Rule meetings (8-12 total for year)
- Ensure all equipment placed in service by Dec 31
- Compile Q4 documentation for CPA
- Submit optimized W-4 to employer
- Max 401(k) contributions if possible

Q1 2026 (January-March) — Systems & Scaling**January:**

- File 2025 taxes with CPA (verify all deductions documented)
- Move retirement accounts to STRC/STRF allocation
- Increase Bitcoin DCA to \$1,000/month
- Set up monthly Accountable Plan reimbursement process

February:

- Open Solo 401(k) if LLC generated 2025 profit
- Establish quarterly estimated tax payment system
- Research Airbnb arbitrage market in Charlotte
- Establish accelerator positions (IREN, ASST, OPEN)

March:

- Review Q1 LLC profitability and systems
- Make Q1 estimated tax payment

- Decide on real estate path (arbitrage vs ownership vs defer)
- Portfolio review and rebalancing

Q2 2026 (April-June) — Expansion

April-June:

- If pursuing arbitrage: secure property, furnish, launch listing
- Continue Bitcoin DCA and STRC/STRF contributions
- Make Q2 estimated tax payment (June)
- Evaluate HELOC deployment timing based on Bitcoin price
- Document first full quarter of LLC operations for future planning

Q3 2026 (July-September) — Optimization

July-September:

- Mid-year tax planning session with CPA
- Make Q3 estimated tax payment (September)
- Review arbitrage profitability (if launched)
- Evaluate S-corp election for 2027 if LLC profit >\$60k
- Portfolio rebalancing and accelerator position review

Q4 2026 (October-December) — Year-Two Planning

October-December:

- Execute 2026 year-end tax strategies (Augusta Rule, equipment if needed)
- Make Q4 estimated tax payment (January 2027)
- Max 2026 retirement contributions
- Strategic HELOC deployment review
- Plan 2027 optimization strategies with CPA

Action Plan: This Week / This Month

This Week (Next 7 Days)

1. **Monday:** Call 3 local banks/credit unions, open business checking account
2. **Tuesday:** Research Section 179 equipment needs, create shopping list with prices
3. **Wednesday:** Photograph and measure home office, create floor plan sketch
4. **Thursday:** Open River.com account, complete KYC, link bank account
5. **Friday:** Call CPA offices, schedule year-end tax consultation
6. **Weekend:** Set up QuickBooks Self-Employed or Wave, create business document folder

This Month (Next 30 Days)

1. **Week 1:** Complete all Week 1 items from 30-Day Checklist
2. **Week 2:** Draft Accountable Plan, obtain EIN, start mileage tracking
3. **Week 3:** Purchase Section 179 equipment (MUST be done by Dec 31), execute 2-3 Augusta Rule meetings
4. **Week 4:** Submit W-4 optimization, start Bitcoin DCA, final Augusta meetings

December Tax Optimization Checklist

- All equipment purchased and placed in service by December 31
- 8-12 Augusta Rule meetings executed with full documentation
- Mileage log showing business use for Nov-Dec
- Home office measured, photographed, and documented
- Accountable Plan drafted and signed
- Q4 reimbursement packet prepared for January payment
- 401(k) contributions maximized for 2025
- All receipts organized in digital folder
- Meeting scheduled with CPA for January tax prep

Compliance & Risk Management

Documentation Requirements

Section 179 Equipment:

- Purchase receipts with date and itemized description
- Photos of equipment in business use
- Date placed in service (must be by Dec 31)
- Business use percentage if mixed personal/business

Augusta Rule:

- Written meeting agendas (before meeting)
- Meeting minutes (after meeting)
- Invoices from you to LLC
- Payment records (checks or ACH)
- Market rate research for your area

Home Office:

- Photos of exclusive-use space
- Floor plan with measurements
- Documentation of business activities conducted there
- If actual method: all home expense receipts

Accountable Plan:

- Written plan document (signed and dated)
- Monthly reimbursement packets with receipts
- Business purpose documented for each expense
- Payment records from LLC to you

Vehicle Mileage:

- Contemporaneous mileage log (date, start, destination, miles, purpose)

- MileIQ or similar app recommended
- Total annual miles and business percentage

Audit Defense Strategy

- **Contemporaneous records:** Document everything at time of occurrence, not retroactively
- **Segregation of funds:** Keep business and personal expenses separate
- **Substantiation:** Every deduction backed by receipt + business purpose
- **Consistency:** Apply same methods year over year
- **Reasonableness:** All expenses and deductions within normal ranges

Red Flags to Avoid

- Claiming 100% business use of vehicle (unrealistic)
- Augusta Rule meetings without agendas/minutes
- Home office in space with obvious personal use
- Round numbers on expense logs (suggests estimation, not tracking)
- Late or missing estimated tax payments
- Equipment purchases on December 30-31 (looks like timing manipulation)

Professional Team & Resources

Immediate Needs (Q4 2025)

CPA / Tax Professional:

- Critical for 2025 return preparation
- Must have experience with Schedule C, Section 179, Augusta Rule
- Schedule consultation in early January 2026 to review 2025 strategies
- Ongoing: quarterly check-ins for estimated tax payments and strategy adjustments
- Cost: \$1,500-\$3,500 for return preparation + planning

Business Attorney (If Needed):

- Consider if expanding to multi-member LLC or S-corp election
- Contract review if launching arbitrage with landlords
- Not immediately necessary if staying single-member LLC
- Cost: \$200-\$400/hour

Scaling Needs (2026+)**Bookkeeper:**

- Once LLC profit >\$5,000/month or arbitrage launched
- Monthly bookkeeping and reconciliation
- Frees up your time for high-value activities
- Cost: \$200-\$500/month

Business Insurance:

- General liability: \$500-\$1,200/year
- Required if arbitrage launched (host protection insurance + separate commercial policy)
- Equipment insurance for Section 179 purchases (often covered under homeowners)

Financial Advisor (Optional):

- Consider if portfolio >\$500k or complex estate planning needs
- Fee-only fiduciary (NOT commission-based)
- Cost: 0.5-1.0% AUM or flat annual fee

Resources**Bitcoin:**

- River.com or Strike.com (purchase platform)
- Unchained Capital (multisig custody)
- Hardware wallets: Ledger.com or Trezor.io

Real Estate / Arbitrage:

- AirDNA.co (market research data)
- Furnished Finder (furnished rental listings)
- Hospitable.com or Guesty (property management software)

Tax & Business:

- IRS.gov (forms, publications, tax estimator)
- Accountable Plan templates (search online or CPA-provided)
- QuickBooks Self-Employed or Wave (bookkeeping)

Education:

- "Tax-Free Wealth" by Tom Wheelwright (book on tax strategy)
- "The Bitcoin Standard" by Saifedean Ammous (Bitcoin fundamentals)
- Bigger Pockets (real estate investing education)

FAQ & Strategic Notes

Q: What if I can't execute all strategies before December 31?

A: Prioritize in this order:

1. Section 179 equipment purchases (biggest immediate impact)
2. Augusta Rule meetings (time-sensitive, can't do in 2026 for 2025)
3. Mileage tracking for Nov-Dec (shows good faith effort)
4. Home office and Accountable Plan documentation

Q: Should I deploy HELOC into Bitcoin vs real estate?

A: Depends on risk tolerance and cash flow:

- **Bitcoin:** Higher risk/reward, less operational burden, tax-efficient long-term
- **Real estate:** Lower risk, generates monthly income, more time-intensive

- **Hybrid approach:** Deploy 50% HELOC into Bitcoin, 50% into arbitrage startup
- **Conservative approach:** Don't deploy HELOC until LLC is profitable and can cover payments

Q: What if I'm in the QBI phase-out range?

A: Phase-out impacts depend on filing status and exact income:

- **Single, \$197k-\$272k:** Partial QBI deduction using sliding scale
- **Married, \$394k-\$544k:** Partial QBI deduction (expanded range under OBBBA)
- Work with CPA to calculate exact deduction based on W-2 wages paid by business

Q: How do I know if my employer 401k allows Mega Backdoor Roth?

A: Contact HR or benefits administrator and ask:

1. "Does our 401k plan allow after-tax contributions beyond the \$23,500 limit?"
 2. "Does the plan allow in-plan Roth conversions or in-service distributions?"
- If both answers are yes, you can do Mega Backdoor Roth
 - If either is no, you cannot (but can still max regular 401k + Backdoor Roth IRA)

Q: What happens if I exceed Section 179 limits?

A: Section 179 limit is \$2.5 million for 2025 (massively increased by OBBBA).

- Phase-out begins at \$4 million in equipment purchases
- You won't approach this limit, so deduct 100% of qualifying equipment

Q: Should I convert my single-member LLC to S-corp?

A: Generally not worth it until LLC profit exceeds \$60,000-\$80,000/year.

- S-corp adds complexity: payroll, W-2s, quarterly filing
- Benefit: Save on self-employment tax by splitting income into salary + distributions
- Cost: \$1,500-\$3,000/year additional accounting fees

- **Recommendation:** Wait until Q3 2026 to evaluate after you have full year of LLC operations

Q: What if I can't max 401k contributions this late in the year?

A: Do your best to increase contributions for remaining paychecks.

- Even partial max creates tax deduction value
- Make up difference with Solo 401k employer contribution if LLC is profitable
- Plan for full max in 2026 from January 1st

Risk Disclosures & Disclaimers

Tax Strategy Risks

- **Audit risk:** Augusta Rule and Section 179 are scrutinized by IRS. Maintain impeccable documentation.
- **Recapture risk:** Equipment depreciation is recaptured if you sell or stop using for business before recovery period ends
- **Penalties:** Excess 401k contributions, missed estimated tax payments, or improper deductions can trigger penalties

Investment Risks

- **Bitcoin volatility:** 50-80% drawdowns have occurred historically. Only invest capital you won't need for 5+ years.
- **HELOC risk:** Interest rates can increase; debt must be serviced regardless of investment performance
- **Real estate risk:** Arbitrage can fail if occupancy drops, landlord terminates lease, or regulations change
- **No guarantees:** Past performance does not guarantee future results

Every tax situation is unique. Strategies must be validated by your tax professional before implementation. IRS rules change frequently; verify current-year limits and regulations.

Liability Disclaimer

The information in this plan is provided for educational purposes only. Neither the author nor any affiliated parties assume responsibility for decisions made based on this information. All tax strategies should be reviewed and approved by a licensed CPA or tax attorney before execution. Investment decisions should be made with full understanding of risks and ideally with guidance from a licensed financial advisor.

Prepared for Matt Lewis | October 2025

Note: Actual results depend on filing status, exact income level, and deductions taken. Consult with CPA and financial advisor before implementing strategies. This plan is for educational purposes and does not constitute financial, investment, tax, or legal advice.